Anti-Money Laundering and KYC Policy

Purpose

This policy sets the minimum Know Your Customer (KYC) and Anti-Money Laundering (AML) standards for every business unit of Meridian Trust & Co. The policy is owned by the Compliance department and is governed by the Bank Secrecy Act and the USA PATRIOT Act.

Customer Due Diligence

Every new client must complete Customer Due Diligence (CDD) before an account is opened. CDD requires verified legal name, date of birth, residential address and a government identification document. Beneficial owners holding 25 percent or more of a legal entity must also be identified.

Enhanced Due Diligence

Enhanced Due Diligence (EDD) applies to politically exposed persons, clients in high-risk jurisdictions and any client whose expected annual activity exceeds 10 million USD. EDD reviews must be refreshed every 12 months and approved by a Compliance Officer.

Suspicious Activity

Employees who detect unusual activity must raise an internal alert in the Case Manager tool within 24 hours. The Financial Intelligence Unit decides whether to file a Suspicious Activity Report (SAR). A SAR must be filed with FinCEN within 30 calendar days of initial detection. Employees must never tell a client that a SAR is being considered; this is known as tipping off and is prohibited.

Record Retention

KYC records must be retained for five years after the account is closed.